

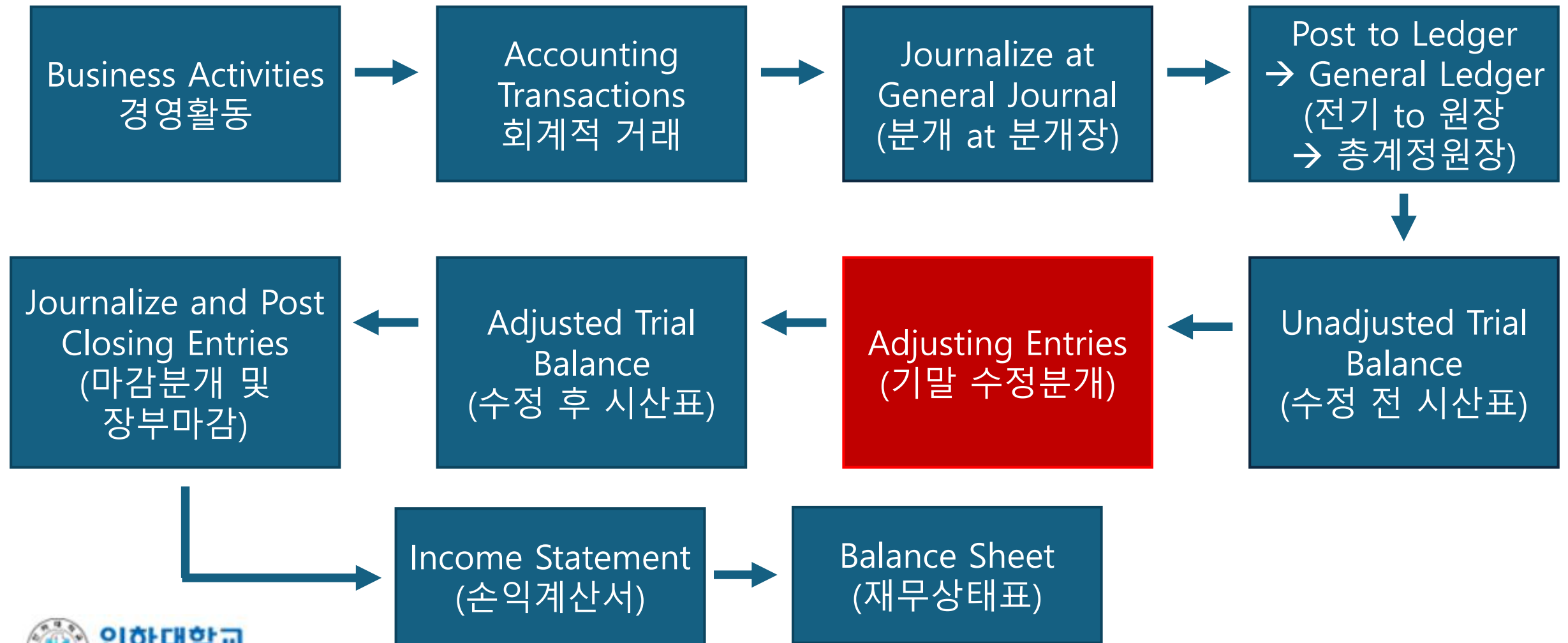
The Recording Process  
– Adjusting Entries  
(회계기록과정  
– 수정 분개)

Principles of Accounting  
Dr. Joe (Joong Hi) Cho

# Adjusting the Accounts (수정 분개)

# The Recording Process

- This process is known as “the accounting cycle”



# Adjusting Entries

## Adjusting Entries

- Adjusting entries apply the revenue and expense recognition principles.
- Required whenever financial statements are prepared.
- Each entry affects one income statement account and one balance sheet account.

# Adjusting Entries

- Financial statements issued **at end of period**
  - Several accounts on trial balance need to be brought up-to-date
  - Certain transactions have not been recorded
- 
- Then why wait and adjust accounts at the end of period?
    - Too costly to adjust accrual accounts in real time; therefore, if no cash involved, wait until period end to adjust them.
    - Adjusting at the end of the period does not affect us as investors because investors only see financial statement generated at the end of the period. How often the journal entries are adjusted during the period does not affect the final number.

# Question

Below is a list of concepts in the left column, with a description of the concept in the right column. There are more descriptions provided than concepts. Match the description to the concept.

- |                                        |                                                                                                                                               |
|----------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| 1. ____ Accrual-basis accounting.      | a) Monthly and quarterly time periods.                                                                                                        |
| 2. ____ Calendar year.                 | b) Efforts (expenses) should be recognized in the period in which a company uses assets or incurs liabilities to generate results (revenues). |
| 3. ____ Time period assumption.        | c) Accountants divide the economic life of a business into artificial time periods.                                                           |
| 4. ____ Expense recognition principle. | d) Companies record revenues when they receive cash and record expenses when they pay out cash.                                               |
|                                        | e) An accounting time period that starts on January 1 and ends on December 31.                                                                |
|                                        | f) Companies record transactions in the period in which the events occur.                                                                     |

# Solution

1. f
2. e
3. c
4. b

# Adjusting Accounts

## Categories of Adjustments

Deferrals  
이연

Accruals  
발생액

# Adjusting the Accounts (수정 분개) - Deferrals (이연)

## Categories of Adjustments

Deferrals  
이연

Accruals  
발생액

# Adjusting the Accounts

- **Deferrals (이연)**

- Deferrals are expenses or revenues that are recognized at a date later than the point when cash was originally exchanged
- In other words, 'Cash comes first, accounting comes later' or 'Cash now, recognize later'
- Two types of 'deferrals(이연)'
  - **Prepaid expenses** (선급비용 – 자산)
    - Paid in advance for future benefits (e.g., prepaid rent, prepaid insurance)
    - Prior to adjustment, assets are overstated and expenses are understated.
  - **Unearned revenues** (선수수익 – 부채)
    - Cash received before services are provided (e.g., subscription fees received in advance)

Deferrals(이연)은 현금은 먼저 움직이고, 회계(수익/비용)는 나중에 처리

# Adjusting the Accounts

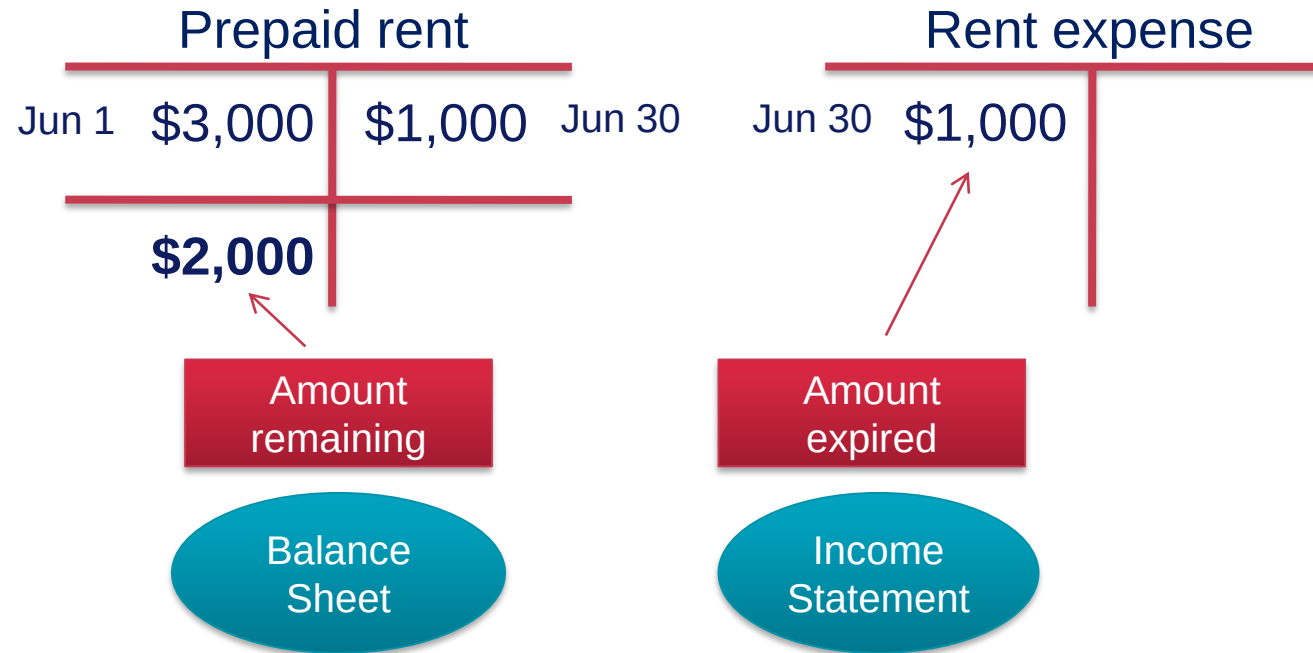
- Deferrals (이연) – Prepaid Expenses (선급비용)

Recorded as assets when purchased

| JOURNAL |                                           |       |        |
|---------|-------------------------------------------|-------|--------|
| Date    | Accounts and explanation                  | Debit | Credit |
| Jun 1   | Prepaid rent                              | 3,000 |        |
|         | Cash                                      |       | 3,000  |
|         | <i>Paid three months' rent in advance</i> |       |        |
|         |                                           |       |        |
| Jun 30  | Rent expense                              | 1,000 |        |
|         | Prepaid rent                              |       | 1,000  |
|         | <i>To record rent expense</i>             |       |        |

# Adjusting the Accounts

- Deferrals (이연) – Prepaid Expenses (선급비용)



# Adjusting the Accounts

## Deferrals (이연) – Supplies (소모품)

- Companies recognize supplies expense at the **end** of the accounting period – not as the supplies are used.

Oct. 5



Supplies purchased;  
record asset



Oct. 31

Supplies used;  
record supplies expense

Recorded as assets when purchased

| JOURNAL |                                   |       |        |
|---------|-----------------------------------|-------|--------|
| Date    | Accounts and explanation          | Debit | Credit |
| Jun 2   | Supplies                          | 700   |        |
|         | Cash                              |       | 700    |
|         | <i>Paid cash for supplies</i>     |       |        |
|         |                                   |       |        |
| Jun 30  | Supplies expense                  | 300   |        |
|         | Supplies                          |       | 300    |
|         | <i>To record supplies expense</i> |       |        |

# Adjusting the Accounts

- Deferrals (이연) – Supplies (소모품) ← prepaid expense 항목

| Supplies |       |       |        |
|----------|-------|-------|--------|
| Jun 2    | \$700 | \$300 | Jun 30 |
|          |       | \$400 |        |

Amount on  
hand

Balance  
Sheet

| Supplies expense |       |
|------------------|-------|
| Jun 30           | \$300 |

Amount used

Income  
Statement

# Adjusting the Accounts

- Supplies Adjustment Question

**Assume:** Yazici Advertising purchased supplies costing ₩2,500 on October 5. Yazici recorded the purchase by increasing (debiting) the asset Supplies. This account shows a balance of ₩2,500 in the October 31 trial balance. An inventory count at the close of business on October 31 reveals that ₩1,000 of supplies are still on hand.

→ 10월5일 2500만큼 비용으로 물품 구매 후 자산인 supplies 증가(차변 기입). 이 계정은 10월31일 시산표에 2500의 잔액을 보여줌. 10월 31일 회계연도 종료 후 재고 수량을 보면 1,000 supplies가 남아있음.

**Demonstrate:** How do you record the adjustment for supplies?

# Adjusting the Accounts

## Supplies Adjustment Solution

Basic  
Analysis

The expense Supplies Expense is increased ₩1,500; the asset Supplies is decreased ₩1,500.

Equation  
Analysis

$$(1) \quad \begin{array}{r} \text{Assets} \\ \hline \text{Supplies} \\ \hline -₩1,500 \end{array} = \begin{array}{r} \text{Liabilities} \\ \hline \end{array} + \begin{array}{r} \text{Equity} \\ \hline \text{Supplies Expense} \\ \hline -₩1,500 \end{array}$$

Debit–Credit  
Analysis

Debits increase expenses: debit Supplies Expense ₩1,500.  
Credits decrease assets: credit Supplies ₩1,500.

Journal  
Entry

|         |                                                           |            |       |       |
|---------|-----------------------------------------------------------|------------|-------|-------|
| Oct. 31 | Supplies Expense<br>Supplies<br>(To record supplies used) | 631<br>126 | 1,500 | 1,500 |
|---------|-----------------------------------------------------------|------------|-------|-------|

Posting

| Supplies |            | 126                       |
|----------|------------|---------------------------|
| Oct. 5   | 2,500      | Oct. 31 <b>Adj. 1,500</b> |
| Oct. 31  | Bal. 1,000 |                           |

| Supplies Expense |                   | 631 |
|------------------|-------------------|-----|
| Oct. 31          | <b>Adj. 1,500</b> |     |
| Oct. 31          | Bal. 1,500        |     |

# Adjusting the Accounts

## Deferrals (이연) – Insurance (보험) ← prepaid expense 항목

- The cost of insurance paid in advance is recorded as an increase (debit) in the asset account Prepaid Insurance.
- At the financial statement date, companies increase (debit) Insurance Expense and decrease (credit) Prepaid Insurance for the cost of insurance that has expired during the period.

Oct. 4



Insurance purchased;  
record asset

| Insurance Policy |              |              |             |
|------------------|--------------|--------------|-------------|
| Oct<br>₩50       | Nov<br>₩50   | Dec<br>₩50   | Jan<br>₩50  |
| Feb<br>₩50       | March<br>₩50 | April<br>₩50 | May<br>₩50  |
| June<br>₩50      | July<br>₩50  | Aug<br>₩50   | Sept<br>₩50 |
| 1 YEAR ₩600      |              |              |             |

Oct. 31

Insurance expired;  
record insurance expense

# Adjusting the Accounts

- Insurance Adjustment Question

**Assume:** On October 4, Yazici Advertising paid ₩600 for a one-year fire insurance policy. Coverage began on October 1. Yazici recorded the payment by increasing (debiting) Prepaid Insurance.

**Demonstrate:** How do you record the adjustment for insurance?

# Adjusting the Accounts

## Insurance Adjustment Solution

Basic  
Analysis

The expense Insurance Expense is increased ₩50; the asset Prepaid Insurance is decreased ₩50.

Equation  
Analysis

$$(2) \quad \frac{\text{Assets}}{\text{Prepaid Insurance} - ₩50} = \frac{\text{Liabilities}}{=} + \frac{\text{Equity}}{\text{Insurance Expense} - ₩50}$$

Debit-Credit  
Analysis

Debits increase expenses: debit Insurance Expense ₩50.  
Credits decrease assets: credit Prepaid Insurance ₩50.

Journal  
Entry

|         |                               |     |    |    |
|---------|-------------------------------|-----|----|----|
| Oct. 31 | Insurance Expense             | 722 | 50 |    |
|         | Prepaid Insurance             | 130 |    | 50 |
|         | (To record insurance expired) |     |    |    |

Posting

| Prepaid Insurance |          | 130                    |
|-------------------|----------|------------------------|
| Oct. 4            | 600      | Oct. 31 <b>Adj. 50</b> |
| Oct. 31           | Bal. 550 |                        |

| Insurance Expense |                | 722 |
|-------------------|----------------|-----|
| Oct. 31           | <b>Adj. 50</b> |     |
| Oct. 31           | Bal. 50        |     |

# Adjusting the Accounts

## Unearned Revenues (선수수익)

- When companies receive cash before services are performed, they record a liability by increasing (crediting) a liability account called **unearned revenues**.
- Prior to adjustment, liabilities are overstated and revenues are understated.

Oct. 2



Cash is received in advance;  
liability is recorded



Oct. 31

Some service has been  
performed; some revenue  
is recorded

# Adjusting the Accounts

- Deferrals (이연) – Unearned Revenue (선수수익)
  - Receive cash before revenue is earned
  - Creates a liability
    - Business owes customer a good or service

| JOURNAL |                                              |       |        |
|---------|----------------------------------------------|-------|--------|
| Date    | Accounts and explanation                     | Debit | Credit |
| Jun 15  | Cash                                         | 400   |        |
|         | Unearned service revenue                     |       | 400    |
|         | <i>Received cash for revenue in advance.</i> |       |        |

# Adjusting the Accounts

- Deferrals (이연) – Unearned Revenue (선수수익)
  - When revenue is earned
    - Liability is reduced
    - Revenue is increased

| JOURNAL |                                                                 |       |        |
|---------|-----------------------------------------------------------------|-------|--------|
| Date    | Accounts and explanation                                        | Debit | Credit |
| Jun 30  | Unearned revenue                                                | 200   |        |
|         | Service revenue                                                 |       | 200    |
|         | <i>To record unearned service revenue that has been earned.</i> |       |        |

# Adjusting the Accounts

- **Unearned Revenues Question**

**Assume:** Yazici Advertising received ₺1,200 on October 2 from R. Knox for advertising services expected to be completed by December 31. Yazici credited the payment to Unearned Service Revenue. This liability account shows a balance of ₺1,200 in the October 31 trial balance.

**Demonstrate:** How do you record the adjustment for advertising revenue?

# Adjusting the Accounts

- Unearned Revenues Solution

|                          |                                                                                                                                                                                                                                                                                    |                                                                                           |                          |                 |     |               |          |                    |   |               |                  |                                                                                                                                                                                             |                          |  |                 |  |     |        |            |                 |  |         |             |
|--------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|--------------------------|-----------------|-----|---------------|----------|--------------------|---|---------------|------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|--|-----------------|--|-----|--------|------------|-----------------|--|---------|-------------|
| Basic Analysis           | The liability Unearned Service Revenue is decreased ₩400; the revenue Service Revenue is increased ₩400.                                                                                                                                                                           |                                                                                           |                          |                 |     |               |          |                    |   |               |                  |                                                                                                                                                                                             |                          |  |                 |  |     |        |            |                 |  |         |             |
| Equation Analysis        | <table><tr><td><u>Assets</u></td><td>=</td><td><u>Liabilities</u></td><td>+</td><td><u>Equity</u></td></tr><tr><td></td><td></td><td>Unearned Service Revenue</td><td></td><td>Service Revenue</td></tr><tr><td></td><td></td><td>− ₩400</td><td></td><td>+ ₩400</td></tr></table> |                                                                                           |                          |                 |     | <u>Assets</u> | =        | <u>Liabilities</u> | + | <u>Equity</u> |                  |                                                                                                                                                                                             | Unearned Service Revenue |  | Service Revenue |  |     | − ₩400 |            | + ₩400          |  |         |             |
| <u>Assets</u>            | =                                                                                                                                                                                                                                                                                  | <u>Liabilities</u>                                                                        | +                        | <u>Equity</u>   |     |               |          |                    |   |               |                  |                                                                                                                                                                                             |                          |  |                 |  |     |        |            |                 |  |         |             |
|                          |                                                                                                                                                                                                                                                                                    | Unearned Service Revenue                                                                  |                          | Service Revenue |     |               |          |                    |   |               |                  |                                                                                                                                                                                             |                          |  |                 |  |     |        |            |                 |  |         |             |
|                          |                                                                                                                                                                                                                                                                                    | − ₩400                                                                                    |                          | + ₩400          |     |               |          |                    |   |               |                  |                                                                                                                                                                                             |                          |  |                 |  |     |        |            |                 |  |         |             |
| Debit–Credit Analysis    | Debits decrease liabilities: debit Unearned Service Revenue ₩400.<br>Credits increase revenues: credit Service Revenue ₩400.                                                                                                                                                       |                                                                                           |                          |                 |     |               |          |                    |   |               |                  |                                                                                                                                                                                             |                          |  |                 |  |     |        |            |                 |  |         |             |
| Journal Entry            | Oct. 31                                                                                                                                                                                                                                                                            | Unearned Service Revenue<br>Service Revenue<br>(To record revenue for services performed) | 209<br>400               | 400             | 400 |               |          |                    |   |               |                  |                                                                                                                                                                                             |                          |  |                 |  |     |        |            |                 |  |         |             |
| Posting                  | <table><tr><td colspan="2">Unearned Service Revenue</td><td>209</td></tr><tr><td>Oct. 31</td><td>Adj. 400</td><td>Oct. 2 1,200</td></tr><tr><td></td><td></td><td>Oct. 31 Bal. 800</td></tr></table>                                                                               |                                                                                           | Unearned Service Revenue |                 | 209 | Oct. 31       | Adj. 400 | Oct. 2 1,200       |   |               | Oct. 31 Bal. 800 | <table><tr><td colspan="2">Service Revenue</td><td>400</td></tr><tr><td></td><td>Oct. 31 31</td><td>10,000 Adj. 400</td></tr><tr><td></td><td>Oct. 31</td><td>Bal. 10,400</td></tr></table> |                          |  | Service Revenue |  | 400 |        | Oct. 31 31 | 10,000 Adj. 400 |  | Oct. 31 | Bal. 10,400 |
| Unearned Service Revenue |                                                                                                                                                                                                                                                                                    | 209                                                                                       |                          |                 |     |               |          |                    |   |               |                  |                                                                                                                                                                                             |                          |  |                 |  |     |        |            |                 |  |         |             |
| Oct. 31                  | Adj. 400                                                                                                                                                                                                                                                                           | Oct. 2 1,200                                                                              |                          |                 |     |               |          |                    |   |               |                  |                                                                                                                                                                                             |                          |  |                 |  |     |        |            |                 |  |         |             |
|                          |                                                                                                                                                                                                                                                                                    | Oct. 31 Bal. 800                                                                          |                          |                 |     |               |          |                    |   |               |                  |                                                                                                                                                                                             |                          |  |                 |  |     |        |            |                 |  |         |             |
| Service Revenue          |                                                                                                                                                                                                                                                                                    | 400                                                                                       |                          |                 |     |               |          |                    |   |               |                  |                                                                                                                                                                                             |                          |  |                 |  |     |        |            |                 |  |         |             |
|                          | Oct. 31 31                                                                                                                                                                                                                                                                         | 10,000 Adj. 400                                                                           |                          |                 |     |               |          |                    |   |               |                  |                                                                                                                                                                                             |                          |  |                 |  |     |        |            |                 |  |         |             |
|                          | Oct. 31                                                                                                                                                                                                                                                                            | Bal. 10,400                                                                               |                          |                 |     |               |          |                    |   |               |                  |                                                                                                                                                                                             |                          |  |                 |  |     |        |            |                 |  |         |             |

# Q) Adjusting Entries for Deferrals

The ledger of Hammond Deliveries, on March 31, 2025, includes these selected accounts before adjusting entries are prepared:

|                                    | <u>Debit</u> | <u>Credit</u> |
|------------------------------------|--------------|---------------|
| Prepaid Insurance                  | € 3,600      |               |
| Supplies                           | 2,800        |               |
| Equipment                          | 25,000       |               |
| Accumulated Depreciation—Equipment |              | €5,000        |
| Unearned Service Revenue           |              | 9,200         |

An analysis of the account shows the following:

1. Insurance expires at the rate of €100 per month.
2. Supplies on hand total €800.
3. [REDACTED]
4. During March, services were performed for €4,000 of the unearned service revenue.

Prepare the adjusting entries for the month of March.

# Solution

|                                            |       |       |
|--------------------------------------------|-------|-------|
| 1. Insurance Expense                       | 100   |       |
| Prepaid Insurance                          |       | 100   |
| (To record insurance expired)              |       |       |
| 2. Supplies Expense (€2,800 – €800)        | 2,000 |       |
| Supplies                                   |       | 2,000 |
| (To record supplies used)                  |       |       |
| 3.                                         |       |       |
| 4. Unearned Service Revenue                | 4,000 |       |
| Service Revenue                            |       | 4,000 |
| (To record revenue for services performed) |       |       |

# Adjusting the Accounts (수정 분개)

## - Accruals (발생액)

### Categories of Adjustments

Deferrals  
이연

Accruals  
발생액

# Adjusting the Accounts

- **Accruals (발생액)**

- Accruals refer to accounting adjustments where revenues and expenses are recorded when they occur, not when cash is received or paid.
- In other words, 'Accruals = Record when it happens, not when cash moves'
- There are two types of Accruals:
  - **Accrued Revenue** (미수 수익 - 자산): Revenues for services performed but cash has not yet been collected (e.g., sales made on credit) – 'Account Receivables (Asset)'
  - **Accrued Expenses** (미지급 비용 - 부채): Expenses incurred but not yet paid → Wages earned by employees but not yet paid (e.g., wages, taxes, interest) – 'Account Payables (Liability)'

✓ 발생액(Accruals)은 발생주의 회계에서 사용되는 중요한 개념.

✓ 이 방법은 수익과 비용을 현금이 실제로 오가기 전에 발생한 시점에 기록하는 방식.

✓ 즉, 현금 흐름과 관계없이, 발생한 수익/비용을 그때그때 기록하여 재무상태를 정확히 반영하고자 함

# Adjusting the Accounts

- Accruals (발생액)

- Accrued Revenues (미수 수익)

- Prior to adjustment, both assets and revenues are understated.
    - An adjusting entry for accrued revenues results in an increase (a debit) to an asset account and an increase (a credit) to a revenue account.
    - The service is performed or the product is delivered first, but the payment is expected to come later  
(서비스나 재화, 상품을 미리 제공. 이와 동시에 수익으로 인식. 그러나 현금은 나중에 들어오는 경우)



Revenue and receivable  
are recorded for  
unbilled services

Nov. 10



Cash is received;  
receivable is reduced

# Adjusting the Accounts

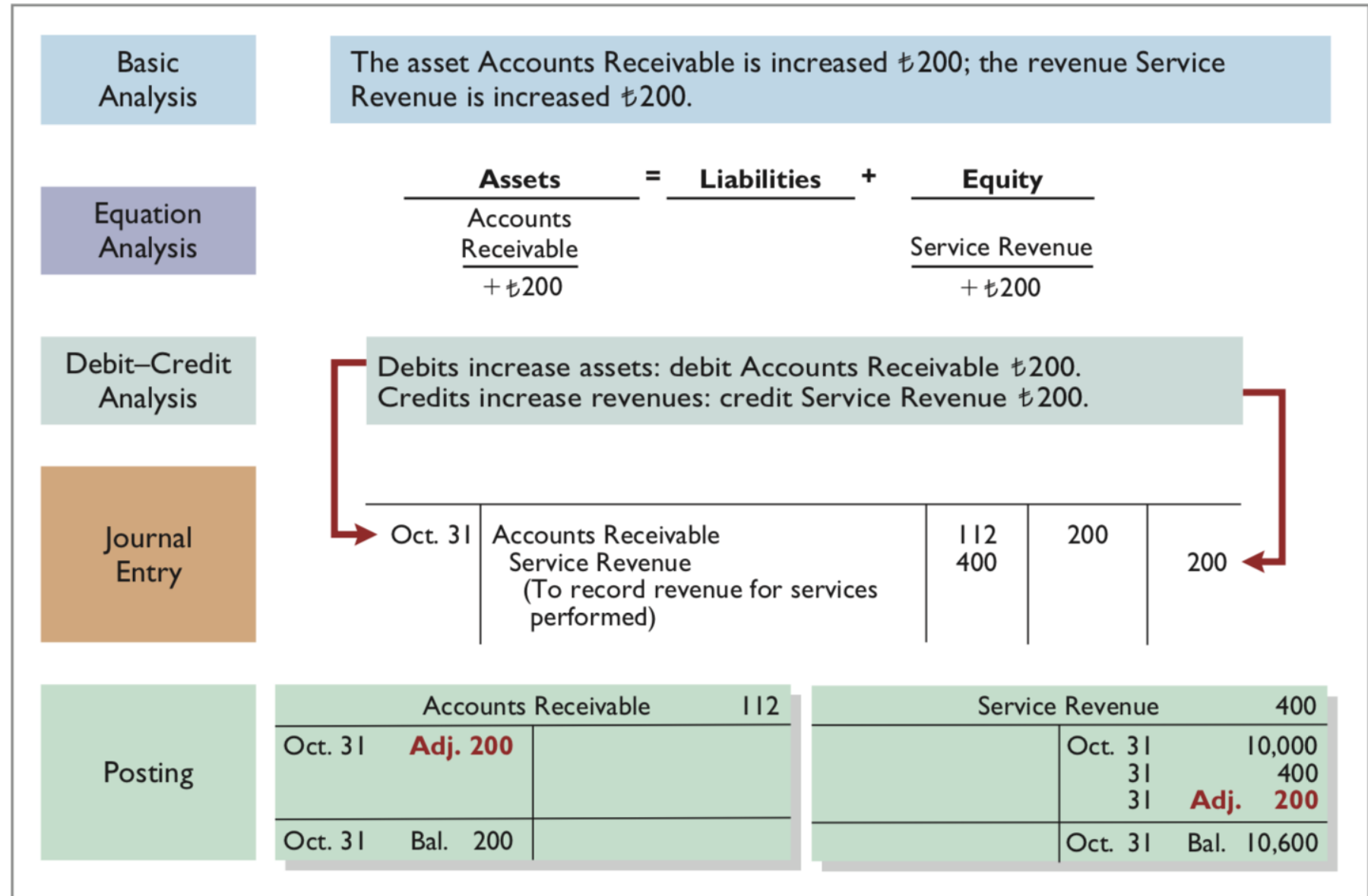
- Accruals (발생액)
  - Accrued Revenues Question

**Assume:** In October, Yazici Advertising performed services worth ₩200 that were not billed to clients on or before October 31. Because these services were not billed, they were not recorded.

**Demonstrate:** How do you adjust for accrued revenue?

# Adjusting the Accounts

- Accruals (발생액)
  - Accrued Revenues Solution



# Adjusting the Accounts

- Accruals (발생액)
  - Accrued Revenue Collection - Solution

|         |                                       |     |     |
|---------|---------------------------------------|-----|-----|
| Nov. 10 | Cash                                  | 200 |     |
|         | Accounts Receivable                   |     | 200 |
|         | (To record cash collected on account) |     |     |

|                   |   |          |   |          |
|-------------------|---|----------|---|----------|
| <b>A</b>          | = | <b>L</b> | + | <b>E</b> |
| +200              |   |          |   |          |
| -200              |   |          |   |          |
| <hr/>             |   |          |   |          |
| <b>Cash Flows</b> |   |          |   |          |
| +200              |   |          |   |          |



## Accounting for Accrued Revenues

| Examples                 | Reason for Adjustment                                        | Accounts Before Adjustment                   | Adjusting Entry            |
|--------------------------|--------------------------------------------------------------|----------------------------------------------|----------------------------|
| Interest, rent, services | Services performed but not yet received in cash or recorded. | Assets understated.<br>Revenues understated. | Dr. Assets<br>Cr. Revenues |

# Adjusting the Accounts

- **Accruals (발생액)**
  - Accrued Revenues (another example of **service**)
    - e.g., started service on June 15 for \$600/month. The payment will be made on July 15.

| JOURNAL |                                          |       |        |
|---------|------------------------------------------|-------|--------|
| Date    | <i>Accounts and explanation</i>          | Debit | Credit |
| Jun 30  | Accounts receivable (\$600 x ½) (Asset+) | 300   |        |
|         | Service revenue (Revenue+)               |       | 300    |
|         | <i>To accrue service revenue.</i>        |       |        |

# Adjusting the Accounts

- Accruals (발생액)

- Accrued Revenues (another example of **Interest**)

- e.g., A company lent ₩1,200,000 at an interest rate of 6% annually, effective from December 1st. The interest accrues monthly but is paid at the end of each month.
    - December 31<sup>st</sup> (Accrued Interest): Interest earned in December is ₩6,000
    - The payment will be made on Jan 15 in the next year.

| JOURNAL |                                    |       |        |
|---------|------------------------------------|-------|--------|
| Date    | Accounts and explanation           | Debit | Credit |
| Dec 31  | Accrued Revenue (Asset+)           | 6,000 |        |
|         | Interest Revenue (Revenue+)        |       | 6,000  |
|         | <i>To accrue Interest revenue.</i> |       |        |

# Adjusting the Accounts

- **Accruals (발생액)**

- Accrued Expenses (미지급 비용)

- Prior to adjustment, both liabilities and expenses are understated.
    - An adjusting entry for accrued expenses results in an increase (a debit) to an expense account and an increase (a credit) to a liability account.
    - Accrued Expenses are costs that have been incurred (i.e., the service has been received or the goods have been used) but have not yet been paid.
    - In other words, these are expenses that a company recognizes on its income statement before making the actual cash payment.

(비용이 발생했지만 현금을 아직 지급하지 않은 비용. 쉽게 말해, 일을 했거나 서비스가 제공되었지만, 그에 대한 대금을 나중에 지불할 때 발생하는 비용)

# Adjusting the Accounts

- Accruals (발생액)
  - Accrued Expenses – Accrued Interest Question

**Assume:** Yazici Advertising signed a three-month note payable in the amount of ₦5,000 on October 1. The note requires Yazici to pay interest at an annual rate of 12%.

## Demonstrate:

- 1) How do you determine the interest to be recorded?
- 2) How do you create the adjustment for accrued interest for the month of October?

# Adjusting the Accounts

- Accruals (발생액)
  - Accrued Expenses – Accrued Interest Solution

| Face Value<br>of Note | × | Annual<br>Interest<br>Rate | × | Time in<br>Terms of<br>One Year | = | Interest |
|-----------------------|---|----------------------------|---|---------------------------------|---|----------|
| ₩5,000                | × | 12%                        | × | $\frac{1}{12}$                  | = | ₩50      |

# Adjusting the Accounts

- Accruals (발생액)
  - Accrued Expenses – Accrued Interest Solution

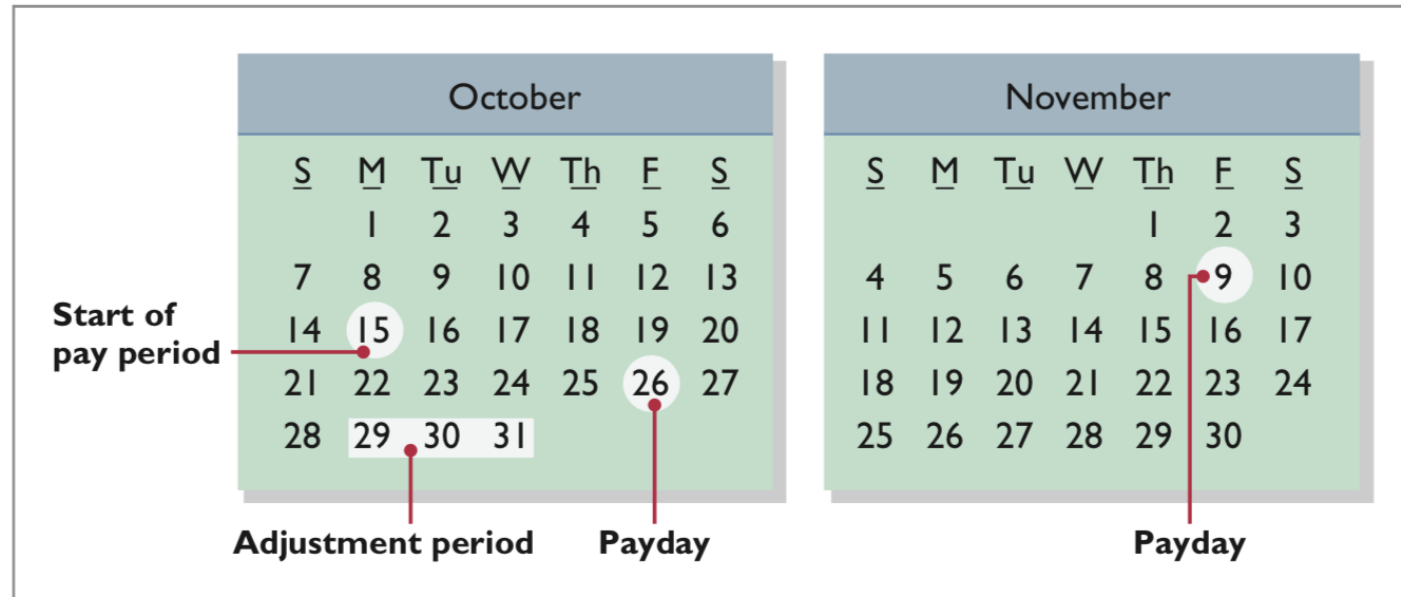
|                       |                                                                                                                                                                                                                                                           |                                                                               |                      |         |         |
|-----------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------|----------------------|---------|---------|
| Basic Analysis        | The expense Interest Expense is increased ₩50; the liability Interest Payable is increased ₩50.                                                                                                                                                           |                                                                               |                      |         |         |
| Equation Analysis     | $\begin{array}{c} \text{Assets} \\ \hline \end{array} = \begin{array}{c} \text{Liabilities} \\ \hline \text{Interest Payable} \\ + \text{₩50} \end{array} + \begin{array}{c} \text{Equity} \\ \hline \text{Interest Expense} \\ - \text{₩50} \end{array}$ |                                                                               |                      |         |         |
| Debit–Credit Analysis | Debits increase expenses: debit Interest Expense ₩50.<br>Credits increase liabilities: credit Interest Payable ₩50.                                                                                                                                       |                                                                               |                      |         |         |
| Journal Entry         | Oct. 31                                                                                                                                                                                                                                                   | Interest Expense<br>Interest Payable<br>(To record interest on notes payable) | 905<br>230           | 50      | 50      |
| Posting               | Interest Expense 905                                                                                                                                                                                                                                      |                                                                               | Interest Payable 230 |         |         |
|                       | Oct. 31                                                                                                                                                                                                                                                   | Adj. 50                                                                       |                      | Oct. 31 | Adj. 50 |
|                       | Oct. 31                                                                                                                                                                                                                                                   | Bal. 50                                                                       |                      | Oct. 31 | Bal. 50 |

# Adjusting the Accounts

- Accruals (발생액)

- Accrued Expenses – Accrued Salaries and Wages

- Companies pay for some types of expenses, such as employee salaries and wages, after the services have been performed.



# Adjusting the Accounts

- Accruals (발생액)
  - Accrued Expenses – Accrued Salaries and Wages

**Assume:** At October 31, the salaries and wages for these three days represent an accrued expense and a related liability to Yazici. The employees receive total salaries and wages of ₺2,000 for a five-day work week, or ₺400 per day. They have been paid on October 26. Thus, accrued salaries and wages at October 31 are ₺1,200 ( $₺400 \times 3$ ).

**Demonstrate:** How do you create the adjustment for accrued salaries and wages?

# Adjusting the Accounts

- Accruals (발생액)
  - Accrued Expenses – Accrued Salaries and Wages

Salaries for the 2-week (10days from 10/15~10/26):  $400 \times 10 = 4,000$   
 (Already paid by cash on Oct. 26)  
 → Dr. Salaries & Wage Exp 4,000  
     Cr. Cash 4,000

|                       |                                                                                                                                                                          |                                                                                                    |            |                |
|-----------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|------------|----------------|
| Basic Analysis        | The expense Salaries and Wages Expense is increased ₩1,200; the liability Salaries and Wages Payable is increased ₩1,200.                                                |                                                                                                    |            |                |
| Equation Analysis     | $\text{Assets} = \frac{\text{Liabilities}}{\text{Salaries and Wages Payable} + \text{₩1,200}} + \frac{\text{Equity}}{\text{Salaries and Wages Expense} - \text{₩1,200}}$ |                                                                                                    |            |                |
| Debit-Credit Analysis | Debits increase expenses: debit Salaries and Wages Expense ₩1,200.<br>Credits increase liabilities: credit Salaries and Wages Payable ₩1,200.                            |                                                                                                    |            |                |
| Journal Entry         | Oct. 31                                                                                                                                                                  | Salaries and Wages Expense<br>Salaries and Wages Payable<br>(To record accrued salaries and wages) | 726<br>212 | 1,200<br>1,200 |
| Posting               | Salaries and Wages Expense                                                                                                                                               |                                                                                                    | 726        |                |
|                       | Oct. 26                                                                                                                                                                  |                                                                                                    | 4,000      |                |
|                       | 31                                                                                                                                                                       | Adj.                                                                                               | 1,200      |                |
|                       | Oct. 31                                                                                                                                                                  | Bal.                                                                                               | 5,200      |                |
|                       | Salaries and Wages Payable                                                                                                                                               |                                                                                                    |            | 212            |
|                       |                                                                                                                                                                          | Oct. 31                                                                                            | Adj.       | 1,200          |
|                       |                                                                                                                                                                          | Oct. 31                                                                                            | Bal.       | 1,200          |

# Adjusting the Accounts

- Accruals (발생액)
  - Accrued Expenses – Accrued Salaries and Wages

At Oct 21, the salaries for 3-days from 10/29 to 10/31 should be adjusted as accrued expense.

→ Dr. Salaries Expense 1,200  
Cr. Salaries Payable(Liability) 1,200

Basic Analysis

The expense Salaries and Wages Expense is increased ₩1,200; the liability Salaries and Wages Payable is increased ₩1,200.

Equation Analysis

|               |   |                            |   |                            |
|---------------|---|----------------------------|---|----------------------------|
| <u>Assets</u> | = | <u>Liabilities</u>         | + | <u>Equity</u>              |
|               |   | Salaries and Wages Payable |   | Salaries and Wages Expense |
|               |   | + ₩1,200                   |   | - ₩1,200                   |

Debit-Credit Analysis

Debits increase expenses: debit Salaries and Wages Expense ₩1,200.  
Credits increase liabilities: credit Salaries and Wages Payable ₩1,200.

Journal Entry

|         |                                        |     |       |       |
|---------|----------------------------------------|-----|-------|-------|
| Oct. 31 | Salaries and Wages Expense             | 726 | 1,200 |       |
|         | Salaries and Wages Payable             | 212 |       | 1,200 |
|         | (To record accrued salaries and wages) |     |       |       |

Posting

|                            |            |       |
|----------------------------|------------|-------|
| Salaries and Wages Expense |            | 726   |
| Oct. 26                    | 4,000      |       |
| 31                         | Adj. 1,200 |       |
| Oct. 31                    | Bal.       | 5,200 |

|                            |         |            |
|----------------------------|---------|------------|
| Salaries and Wages Payable |         | 212        |
|                            | Oct. 31 | Adj. 1,200 |
|                            | Oct. 31 | Bal.       |
|                            |         | 1,200      |

# Adjusting the Accounts

- Accruals (발생액)
  - Accrued Expenses – Accrued Salaries and Wages

**Assume:** Yazici pays salaries and wages every two weeks. Consequently, the next payday is November 9, when the company will again pay total salaries and wages of ₩4,000. The payment consists of ₩1,200 of salaries and wages payable at October 31 plus ₩2,800 of salaries and wages expense for November (7 working days, as shown in the November calendar × ₩400).

**Demonstrate:** What entry does Yazici make on November 9?

# Adjusting the Accounts

- Accruals (발생액)
  - Accrued Expenses – Accrued Salaries and Wages

|        |                                |       |       |                                                                                                                                                                                          |  |
|--------|--------------------------------|-------|-------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| Nov. 9 | Salaries and Wages Payable     | 1,200 |       |                                                                                                                                                                                          |  |
|        | Salaries and Wages Expense     | 2,800 |       |                                                                                                                                                                                          |  |
|        | Cash                           |       | 4,000 | -4,000                                                                                                                                                                                   |  |
|        | (To record November 9 payroll) |       |       |                                                                                                                                                                                          |  |
|        |                                |       |       | <div> <div>A</div> <div>=</div> <div>L</div> <div>+</div> <div>E</div> </div> <div> <div>-1,200</div> <div></div> <div>-2,800</div> </div> <hr/> <div>Cash Flows</div> <div>-4,000</div> |  |



## Accounting for Accrued Expenses

| Examples                 | Reason for Adjustment                                             | Accounts Before Adjustment                        | Adjusting Entry                 |
|--------------------------|-------------------------------------------------------------------|---------------------------------------------------|---------------------------------|
| Interest, rent, salaries | Expenses have been incurred but not yet paid in cash or recorded. | Expenses understated.<br>Liabilities understated. | Dr. Expenses<br>Cr. Liabilities |

# Adjusting the Accounts

- Summary of Prepaid and Accruals

| PREPAIDS –CASH FIRST  |                 |                  |                  |
|-----------------------|-----------------|------------------|------------------|
|                       | FIRST           |                  | LATER            |
| Prepaid expenses      | Prepaid expense |                  | Expense          |
|                       |                 | Cash             | Prepaid expense  |
| Unearned revenues     | Cash            |                  | Unearned revenue |
|                       |                 | Unearned revenue | Revenue          |
| ACCRUALS – CASH LATER |                 |                  |                  |
|                       | FIRST           |                  | LATER            |
| Accrued expenses      | Expense         |                  | Payable          |
|                       |                 | Payable          | Cash             |
| Accrued revenues      | Receivable      |                  | Cash             |
|                       |                 | Revenue          | Receivable       |

# How the General Journal and General Ledger Looks After Adjustments

수정 분개 후의 분개장과 총계정원장은 어떻게  
달라질까?

# How the General Journal Looks After Adjustments

- General journal after adjusting entries

| GENERAL JOURNAL |                                            |      |       | J2     |
|-----------------|--------------------------------------------|------|-------|--------|
| Date            | Account Titles and Explanation             | Ref. | Debit | Credit |
| 2025            | <u>Adjusting Entries</u>                   |      |       |        |
| Oct. 31         | Supplies Expense                           | 631  | 1,500 |        |
|                 | Supplies                                   | 126  |       | 1,500  |
|                 | (To record supplies used)                  |      |       |        |
| 31              | Insurance Expense                          | 722  | 50    |        |
|                 | Prepaid Insurance                          | 130  |       | 50     |
|                 | (To record insurance expired)              |      |       |        |
| 31              | Depreciation Expense                       | 711  | 40    |        |
|                 | Accumulated Depreciation—Equipment         | 158  |       | 40     |
|                 | (To record monthly depreciation)           |      |       |        |
| 31              | Unearned Service Revenue                   | 209  | 400   |        |
|                 | Service Revenue                            | 400  |       | 400    |
|                 | (To record revenue for services performed) |      |       |        |
| 31              | Accounts Receivable                        | 112  | 200   |        |
|                 | Service Revenue                            | 400  |       | 200    |
|                 | (To record revenue for services performed) |      |       |        |
| 31              | Interest Expense                           | 905  | 50    |        |
|                 | Interest Payable                           | 230  |       | 50     |
|                 | (To record interest on notes payable)      |      |       |        |
| 31              | Salaries and Wages Expense                 | 726  | 1,200 |        |
|                 | Salaries and Wages Payable                 | 212  |       | 1,200  |
|                 | (To record accrued salaries and wages)     |      |       |        |

# How the General Journal Looks After Adjustments

- General ledger after adjusting entries

| GENERAL LEDGER              |             |      |        |        |         |                                |             |      |       |        |         |
|-----------------------------|-------------|------|--------|--------|---------|--------------------------------|-------------|------|-------|--------|---------|
| Cash No. 101                |             |      |        |        |         | Interest Payable No. 230       |             |      |       |        |         |
| Date                        | Explanation | Ref. | Debit  | Credit | Balance | Date                           | Explanation | Ref. | Debit | Credit | Balance |
| 2025                        |             |      |        |        |         | 2025                           |             |      |       |        |         |
| Oct. 1                      |             | J1   | 10,000 |        | 10,000  | Oct. 31                        | Adj. entry  | J2   |       | 50     | 50      |
| 2                           |             | J1   | 1,200  |        | 11,200  |                                |             |      |       |        |         |
| 3                           |             | J1   |        | 900    | 10,300  |                                |             |      |       |        |         |
| 4                           |             | J1   |        | 600    | 9,700   |                                |             |      |       |        |         |
| 20                          |             | J1   |        | 500    | 9,200   |                                |             |      |       |        |         |
| 26                          |             | J1   |        | 4,000  | 5,200   |                                |             |      |       |        |         |
| 31                          |             | J1   | 10,000 |        | 15,200  |                                |             |      |       |        |         |
| Accounts Receivable No. 112 |             |      |        |        |         | Share Capital—Ordinary No. 311 |             |      |       |        |         |
| Date                        | Explanation | Ref. | Debit  | Credit | Balance | Date                           | Explanation | Ref. | Debit | Credit | Balance |
| 2025                        |             |      |        |        |         | 2025                           |             |      |       |        |         |
| Oct. 31                     | Adj. entry  | J2   | 200    |        | 200     | Oct. 1                         |             | J1   |       | 10,000 | 10,000  |
| Supplies No. 126            |             |      |        |        |         | Retained Earnings No. 320      |             |      |       |        |         |
| Date                        | Explanation | Ref. | Debit  | Credit | Balance | Date                           | Explanation | Ref. | Debit | Credit | Balance |
| 2025                        |             |      |        |        |         | 2025                           |             |      |       |        |         |
| Oct. 5                      |             | J1   | 2,500  |        | 2,500   |                                |             |      |       |        |         |
| 31                          | Adj. entry  | J2   |        | 1,500  | 1,000   |                                |             |      |       |        |         |
| Prepaid Insurance No. 130   |             |      |        |        |         | Dividends No. 332              |             |      |       |        |         |
| Date                        | Explanation | Ref. | Debit  | Credit | Balance | Date                           | Explanation | Ref. | Debit | Credit | Balance |
| 2025                        |             |      |        |        |         | 2025                           |             |      |       |        |         |
| Oct. 4                      |             | J1   | 600    |        | 600     | Oct. 20                        |             | J1   | 500   |        | 500     |
| 31                          | Adj. entry  | J2   |        | 50     | 550     |                                |             |      |       |        |         |
|                             |             |      |        |        |         | Service Revenue No. 400        |             |      |       |        |         |
| Date                        | Explanation | Ref. | Debit  | Credit | Balance | Date                           | Explanation | Ref. | Debit | Credit | Balance |
| 2025                        |             |      |        |        |         | 2025                           |             |      |       |        |         |
| Oct. 31                     |             | J1   |        |        |         | Oct. 31                        |             | J1   |       | 10,000 | 10,000  |
| 31                          | Adj. entry  | J2   |        | 400    | 10,400  | 31                             | Adj. entry  | J2   |       | 200    | 10,600  |
| 31                          | Adj. entry  | J2   |        | 200    | 10,600  |                                |             |      |       |        |         |

General ledger after adjustment

# Question – Adjusting Entries for Accruals

Mahindra Computer Services began operations on August 1, 2025. At the end of August 2025, management prepares monthly financial statements. The following information relates to August (amounts in thousands).

1. At August 31, the company owed its employees ₹800 in salaries and wages that will be paid on September 1.
2. On August 1, the company borrowed ₹30,000 from a local bank on a 15-year mortgage. The annual interest rate is 10%.
3. Revenue for services performed but unrecorded for August totaled ₹1,100.

Prepare the adjusting entries needed at August 31, 2025.

# Solution – Adjusting Entries for Accruals

|                                                                                                  |       |       |
|--------------------------------------------------------------------------------------------------|-------|-------|
| 1. Salaries and Wages Expense                                                                    | 800   |       |
| Salaries and Wages Payable                                                                       |       | 800   |
| (To record accrued salaries)                                                                     |       |       |
| 2. Interest Expense                                                                              | 250   |       |
| Interest Payable                                                                                 |       | 250   |
| (To record accrued interest:<br>$\text{₹}30,000 \times 10\% \times \frac{1}{12} = \text{₹}250$ ) |       |       |
| 3. Accounts Receivable                                                                           | 1,100 |       |
| Service Revenue                                                                                  |       | 1,100 |
| (To record revenue for services performed)                                                       |       |       |